# WAVERLEY GATEWAY GUIDE

*Connecting International Capital with Emerging & Frontier Markets*

# GRENADA

Americas

*Information current as of October 2026*

Dialogue | Trust | Partnership

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## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| St. George's and the south-west (Grand Anse) | Capital, main seaport and principal tourism belt, served by Maurice Bishop International Airport and expanding airlift from North America and Europe | Tourism, real estate, education services, retail |
| La Sagesse, St. David's (east coast) | Emerging luxury-resort cluster: Six Senses La Sagesse opened in 2024 as the brand's first Caribbean resort, and the 120-room InterContinental Grenada is taking bookings from November 2026 | Luxury hospitality, branded residences, services |
| Calivigny, St. George (Project Polaris) | Site of a planned 250-bed, climate-resilient teaching and research hospital of about $250 million, anchoring a wider Medical City, with groundbreaking expected in 2026 | Healthcare, medical education, construction, PPPs |
| Carriacou and Petite Martinique | Sister islands rebuilding to a higher standard after Hurricane Beryl, supported by an EC$64.8 million 2026 allocation including the Windward Jetty | Resilient housing, marine infrastructure, boutique tourism |
| Melville Street, St. George's | Fishing Port Development Project starting in 2026, modernising landing and handling facilities for the fisheries sector | Fisheries, cold chain, marine services |
| Geothermal and renewable energy sites | Geothermal Energy Development Project entering a directional-drilling exploration phase in 2026, backed by a £10 million UK grant | Geothermal, solar, energy storage |
| Rural agricultural parishes | Heartland of the 'Spice Isle' agricultural base, now recovering from hurricane damage and identified as a priority investment sector | Agribusiness, spices and cocoa processing, agro-tourism |

### INVESTOR ENTRY ROUTES

- Grenada Investment Development Corporation (GIDC), the national investment promotion agency since 1985, screens proposals, guides investors through licences and consents, and administers a performance-based incentive regime
- Investment Act No. 42 of 2014, the framework for investment registration and incentives, prioritising tourism, agribusiness, health and wellness, ICT, renewable energy and the creative industries

- Citizenship by Investment programme, run by the Investment Migration Agency since 2024, with contributions from $235,000 to the National Transformation Fund or $270,000 in approved real-estate projects, now being re-legislated in 2026
- Eastern Caribbean dollar, pegged to the US dollar at EC$2.70 for 50 years under the Eastern Caribbean Central Bank, with reserve backing of 97.6% against a 60% statutory floor
- Public-private partnership and special-purpose-vehicle structures, as with Polaris Development Company Limited for the Project Polaris hospital, financed through concessional loans, equity and philanthropy
- Branded resort development and approved CBI hotel projects, eight of which were approved as of late 2025, offering a route into the tourism pipeline
- Renewable-energy procurement, including the geothermal exploration programme and grid-scale solar opportunities, supporting the shift away from imported fuel

### MARKET-ENTRY OBSERVATION

Grenada in October 2026 is one of the Eastern Caribbean's steadiest performers, combining sustained growth with falling debt and very low inflation. Real GDP grew 3.3% in 2024 and an estimated 4.4% in 2025 (IMF; the government estimates 6.2%), led by investment and construction, with the IMF projecting 3.2% for 2026 and the government 4.1%. Inflation averaged just 0.7% in 2025 and unemployment fell to 7.5% by October 2025. Foreign direct investment reached $207 million in 2025, up about 4% and equivalent to around 14% of GDP, while stayover arrivals rose 12% in the first quarter of 2026. Public debt has fallen from 72.7% of GDP in 2024 to 68.3% in 2025, anchored by the Fiscal Resilience Act's 60% target, and a pipeline of branded resorts and the $250 million Project Polaris hospital is broadening the investment base.

Grenada's principal structural challenge is exposure to hurricanes, and its response has become a regional model of financial preparedness. Hurricane Beryl struck Carriacou and Petite Martinique in July 2024, causing losses estimated at 17% of GDP ($220 million). Pre-arranged instruments delivered fast liquidity: a CCRIF parametric insurance payout of about $55.5 million, a World Bank Catastrophe Deferred Drawdown Option of about $20 million, and the first-ever use of the hurricane clause in Grenada's restructured bonds, deferring two payments. Recovery is now well advanced through the Build Back Better housing programme and an EC$64.8 million 2026 allocation for the sister islands, and the emphasis on climate-resilient infrastructure, renewable energy and resilient construction is creating a steady flow of investment opportunities.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Hurricane and climate exposure | Hurricane Beryl in 2024 caused losses of around 17% of GDP, concentrated in housing and agriculture on the sister islands | Parametric insurance, hurricane clauses in sovereign debt and resilient building standards limit disruption; resilient construction and renewables are growing investment niches |
| EU and international scrutiny of Citizenship by Investment | The European Commission is pressing Eastern Caribbean states to phase out CBI, with a proposed June 2028 wind-down set out to Antigua and Barbuda and a visa-mechanism report due in December 2026 | Grenada hosts the new regional regulator ECCIRA and is tightening oversight; investors in CBI-linked real estate should model policy scenarios and favour projects with strong underlying tourism demand |
| Dependence on CBI and tourism inflows | Government CBI revenue fell from 14.7% of GDP in 2024 to 3.5% in 2025 as demand normalised, while tourism remains the main export earner | Growth in healthcare, education, agribusiness and energy is diversifying the economy, with Project Polaris a flagship for new sectors |
| Public investment delivery capacity | The IMF notes cost overruns and delays on large public projects and urges stronger project management | Operationalisation of the PPP framework and special-purpose vehicles opens room for experienced private partners and contractors |
| Temporary suspension of the fiscal rule | The primary-balance rule was suspended after Hurricane Beryl, with a return to the 1.5% of GDP floor planned from 2027 | The Fiscal Resilience Act's debt target of 60% of GDP by 2035 and independent compliance oversight anchor medium-term credibility |

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Small market and skills depth | A small domestic market and youth unemployment of 20.2% can constrain local sourcing and specialist hiring | Investors can partner with GIDC on training and draw on regional labour mobility, while export-oriented and tourism projects are not limited by domestic demand |
| General election on 5 November 2026 | Prime Minister Dickon Mitchell has called an early election, almost a year ahead of the constitutional deadline | Grenada has a long record of orderly democratic transitions; investors can time approvals and agreements around the post-election period |

### INVESTOR RISK NOTE

Grenada's risk profile is that of a well-managed small island economy with credible fiscal institutions, a stable currency anchor and a proven disaster-response toolkit. The Eastern Caribbean dollar's 50-year peg to the US dollar, reserve backing of 97.6% and inflation below 1% provide macroeconomic stability, while the Fiscal Resilience Act and a falling debt ratio support medium-term confidence. Hurricane exposure is the main structural risk, but the speed of liquidity from parametric insurance and contingent finance after Hurricane Beryl demonstrated the strength of Grenada's preparedness. The most material policy consideration is the EU's push to end Caribbean Citizenship by Investment programmes, which could affect CBI-linked revenue and real-estate projects from 2028; investors should take legal advice on CBI-structured investments and prioritise projects with strong standalone demand. The general election on 5 November 2026 is a routine democratic event, and investors may wish to align key approvals with the incoming government's early priorities.

### MARKET ACCESS

Grenada is a member of CARICOM and its Single Market and Economy, and of the Organisation of Eastern Caribbean States (OECS) Economic Union, giving access to a regional market with free movement of goods and, within the OECS, of people. As a member of the eight-country Eastern Caribbean Currency Union, it shares a common central bank, currency and regional securities market. Grenada is a WTO member and a party, through CARIFORUM, to Economic Partnership Agreements with both the European Union and the United Kingdom, providing preferential access to European markets. Tourism, its principal export, draws mainly on the United States and the United Kingdom, supported by direct airlift into Maurice Bishop International Airport from North America and Europe. This combination of regional integration, European trade preferences and a US dollar-linked currency gives investors a stable, outward-facing platform.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Office of the Prime Minister (Dickon Mitchell) | Sets national economic priorities, including Project Polaris, climate resilience and CBI reform; general election due on 5 November 2026 | Primary reference point for strategic direction and major project approvals after the election |
| Grenada Investment Development Corporation (GIDC) | National investment promotion agency; screens proposals, advises on incentives and facilitates licences and consents | Standard first point of contact for market entry and incentive negotiation |
| Eastern Caribbean Central Bank (ECCB) | Regional monetary authority managing the EC dollar peg and bank supervision; launching an Office of Financial Conduct and a regional credit bureau | Relevant for banking, currency and financial-sector matters |
| Ministry of Finance (Minister Dennis Cornwall) | Leads the budget, fiscal rules, PPP framework, debt management and CBI legislation | Key counterpart for fiscal incentives, PPPs and public-investment partnerships |
| Investment Migration Agency (IMA) | Administers the Citizenship by Investment programme and approves CBI-eligible projects | Essential for developers considering CBI-linked hotel or real-estate projects |

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Eastern Caribbean Citizenship by Investment Regulatory Authority (ECCIRA) | New five-country regional CBI regulator headquartered in Grenada, harmonising due diligence and minimum thresholds | Relevant for understanding the future regulatory direction of CBI |
| Polaris Development Company Limited | Special-purpose vehicle managing the Project Polaris hospital and Medical City development | Counterpart for healthcare, construction and medical-education partnerships |

## CURRENT INTERNATIONAL BUSINESS CHANNELS

The Grenada Chamber of Industry and Commerce is the principal private-sector body and a practical first contact for local partnerships, alongside GIDC's investor facilitation and SME programmes. Regionally, the OECS Commission and CARICOM institutions provide channels into wider Eastern Caribbean opportunities. The World Bank, the Caribbean Development Bank and the IMF are closely engaged on resilience, fiscal reform and infrastructure, while the UK Foreign, Commonwealth and Development Office supports the geothermal programme and CCRIF underpins disaster-risk finance. International hotel groups and developers active at La Sagesse and Grand Anse, and the Mount Sinai partnership behind Project Polaris, are useful sources of practical intelligence on doing business in Grenada.

## INVESTOR PROFILE BEST SUITED

Grenada suits investors seeking long-term exposure to a stable, US dollar-linked island economy with a strong tourism brand: luxury and boutique hospitality groups and branded-residence developers drawn by rising arrivals and new airlift; healthcare, medical-education and wellness investors aligned with Project Polaris; renewable-energy developers targeting geothermal, solar and storage; resilient-construction and infrastructure firms supporting public investment and PPPs; and agribusiness investors adding value to Grenada's spice, cocoa and fisheries base. Investors using Citizenship by Investment structures should plan for the evolving EU and regional regulatory framework.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage GIDC and assess incentive terms
Open dialogue with the Grenada Investment Development Corporation to understand performance-based incentives and the licensing pathway for the target sector.

STEP 2: Map the post-election policy agenda
Track the outcome of the 5 November 2026 general election and the incoming government's priorities on Project Polaris, PPPs and CBI reform.

STEP 3: Evaluate PPP and project-partnership opportunities
Explore participation in Project Polaris, the geothermal programme and public infrastructure through the developing PPP framework and special-purpose vehicles.

STEP 4: Build climate resilience into project design and insurance
Apply resilient building standards and appropriate insurance cover, drawing on the lessons of the Hurricane Beryl recovery.

STEP 5: Take advice on CBI-linked structures
For hotel or real-estate projects relying on Citizenship by Investment, obtain legal advice and model scenarios reflecting EU policy and the new ECCIRA framework.